

of error or disappointment. It runs considerably less risk of confusion between “confidence in the future” and mere speculative enthusiasm.

Large Profits Frequently Transitory. More frequently we have the opposite type of situation from that just discussed. Here the analyst finds reason to question the indefinite continuance of past prosperity.

Examples: Consider a company like J. W. Watson (“Stabilator”) Company, engaged chiefly in the manufacture of a single type of automotive accessory. The success of such a “gadget” is normally short-lived; competition and changes in the art are an ever present threat to the stability of earning power. Hence in such a case the student could have pointed out that the market price, bearing the usual ratio to current and average earnings, reflected a quite unwarranted confidence in the permanence of profits that by their nature were likely to be transitory. Some of the pertinent data relative to this judgment are given in the table below, with respect to this company.⁸

The J. W. Watson Company

Year	Net for common	Per share	Price range for common	Dividend
1932	\$214,026(d)	\$1.07(d)	$\frac{3}{8}$ – $\frac{1}{8}$	None
1931	240,149(d)	1.20(d)	2 – $\frac{1}{8}$	None
1930	264,269(d)	1.32(d)	6–1	None
1929	323,137(d)	1.61(d)	$14\frac{7}{8}$ – $15\frac{1}{8}$	None
1928	348,930(d)	1.74(d)	20 – $5\frac{1}{4}$	50 cents
1927	503,725	2.16	$25\frac{3}{4}$ – $18\frac{7}{8}$	50 cents
1926	577,450*	2.88*	(Issue not quoted prior to 1927)	
1925	502,593*	2.51*		
1924	29,285*	0.15*		
1923	173,907*	0.86*		
1922	142,701*	0.71*		

* Earnings are for predecessor companies, applied to 1932 capitalization.

⁸ The common stock of the company was originally offered in September 1927 at \$24.50 per share, a price 17.3 times the average earnings of the predecessor companies during the preceding five years. This relatively high price was accounted for in part by the apparently